

Steel effects

Demands for protection **must** be carefully **examined**

As per a report in this newspaper, the Centre is **mulling** the **imposition** of country-specific **anti-dumping** and **countervailing duties** on various grades of steel. This is to **counter** a possible **surge** in imports from China and FTA partner countries such as Japan, Korea and Vietnam. **Meanwhile**, **investigations** into imports in certain grades of steel **are** in progress, **with a view to** imposing temporary 'safeguard duties' (which would apply to all exporting countries). Steel imports have come into focus **in the backdrop of** a possible **escalation** by the Trump administration of a trade war with China. This could **trigger diversion** of Chinese steel to a large market like India.

However, the Centre needs to be careful about how it **goes about** raising the protectionist wall. This is because thousands of grades of steel are used in a huge variety of industrial applications; any **broad-spectrum** tariff **hike** can be **inflationary** and impact investment across sectors. The key **issue** to be determined here **is** whether steel imports are flooding the market in categories where domestic output is **abundant** (in which case, an investigation into dumping can **perhaps** be justified), or whether they **cater to** demand for high-end steel which is simply not produced in the country. An **industry** analysis by Global Trade Research Initiative **points out** that **imports**, at 8.3 million tonnes, **were** 6 per cent of domestic production (of 139 million tonnes) in FY24. While imports have risen 73 per cent from 4.8 million tonnes in FY21, steel consumption too appears to have increased significantly, from 95 million tonnes to 136 million tonnes. With steel exports too almost at the same level as imports, it seems that imports are **by and large** just **bridging the gap** between output and demand. Of this 8.3 million tonnes of imports, China (33 per cent or nearly 2.7 million tonnes), Korea (33 per cent) and Japan (15 per cent) **account for** over 80 per cent, **giving rise to** fears of dumping. An August 9, 2024 Rajya Sabha question **points out** that China's steel exports to India have tripled between FY22 and FY24. Japan's exports have nearly doubled over this period, while Korea's have risen in a more **steady fashion**.

But, as the National Steel Policy 2017 **implicitly acknowledges**, speciality steel is not produced in India and it is required in aerospace, defence and automobiles. A user industry may not import steel of the required specification if it is available locally at reasonable rates. **The performance linked incentive** for producing speciality steel since 2021 **should** help bridge the market **lacuna**. Infant industry protection for PLI **ventures** may be needed in the form of country specific steps, rather than safeguard **levies**. But to justify that, the PLI itself should **get going**.

There could be a case for tariffs, if the Trump administration yet again increases levies on China's steel and makes it difficult for **the latter** to **route** its steel through other countries such as Vietnam and Mexico, as it did before. But there may be time to act on that. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

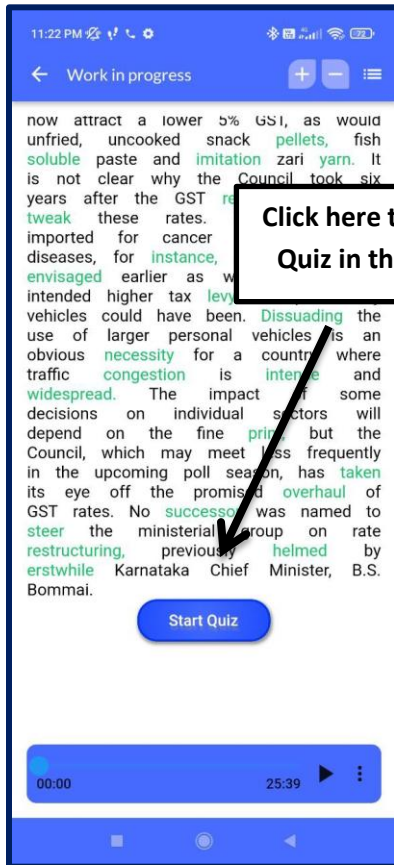
1. **Examine** (verb) – investigate, inspect, scrutinize, analyze, study जाँच करना
2. **Mull** (verb) – consider, ponder, contemplate, think about, deliberate सोच-विचार करना
3. **Imposition** (noun) – enforcement, levy, application, enactment, थोपना
4. **Anti-dumping** (noun) – Measures or duties imposed on imports priced below fair market value to protect domestic industries from unfair competition. डंपिंग-विरोधी (किसी वस्तु को अत्यधिक कम दाम पर बेचने से रोकने हेतु उपाय)
5. **Countervailing duty** (noun) – An additional tariff imposed to counteract subsidies provided by foreign governments to their exporters, ensuring fair trade competition. प्रतिकर शुल्क (विदेशी निर्यातकों को मिली सब्सिडी का मुकाबला करने के लिए लगाया गया शुल्क)
6. **Counter** (verb) – oppose, resist, respond to, rebut, offset मुकाबला करना
7. **Surge** (noun) – sudden increase, upswing, rise, wave, jump उछाल
8. **Meanwhile** (adverb) – at the same time, concurrently, in the interim, in the meantime, simultaneously इस दौरान
9. **With a view to** (phrase) – with the intention of, aiming to, in order to, for the purpose of, with the aim of के उद्देश्य से
10. **In the backdrop of** (phrase) – against the background of, in the context of, considering, in light of, in the setting of के संदर्भ में
11. **Escalation** (noun) – intensification, increase, expansion, amplification, aggravation वृद्धि
12. **Trigger** (verb) – cause, initiate, set off, spark, provoke शुरू करना
13. **Diversion** (noun) – rerouting, redirection, deflection, detour, deviation विचलन
14. **Go about** (phrasal verb) – proceed, tackle, approach, begin, set out to do आरंभ करना
15. **Broad-spectrum** (adjective) – wide-ranging, comprehensive, extensive, overall, all-inclusive व्यापक स्तर का
16. **Hike** (noun) – increase, rise, escalation, boost, surge वृद्धि
17. **Inflationary** (adjective) – causing price rise, leading to inflation, price-raising, cost-escalating, driving up prices महँगाई बढ़ाने वाला
18. **Abundant** (adjective) – plentiful, ample, copious, bountiful, profuse प्रचुर

19. **Perhaps** (adverb) – maybe, possibly, conceivably, perchance, it could be शायद
20. **Cater to** (phrasal verb) – serve, provide for, supply, accommodate, meet the needs of आवश्यकता पूरी करना
21. **By and large** (phrase) – generally, mostly, on the whole, overall, broadly speaking कुल मिलाकर
22. **Bridge the gap** (phrase) – reduce the difference, close the divide, span the distance, reconcile, connect अंतर कम करना
23. **Give rise to** (phrase) – cause, lead to, result in, bring about, produce कारण बनना
24. **Point out** (phrasal verb) – indicate, mention, draw attention to, highlight, note इंगित करना
25. **Steady** (adjective) – stable, constant, regular, consistent, unwavering स्थिर
26. **Fashion** (noun) – manner, way, mode, style, method तरीका / ढंग
27. **Implicitly** (adverb) – indirectly, tacitly, by implication, without stating outright, suggestively अप्रत्यक्ष रूप से
28. **Acknowledge** (verb) – admit, accept, recognize, concede, appreciate स्वीकार करना
29. **Lacuna** (noun) – gap, shortcoming, deficiency, void, hiatus कमी
30. **Levy** (noun) – tax, tariff, duty, charge, imposition कर
31. **Get going** (phrase) – start, begin, commence, get under way, initiate action आगे बढ़ना / शुरू करना
32. **The latter** (noun) – Here it refers to 'china'.
33. **Route** (verb) – Direct, send, move, transmit, channel, चलना
- **Account for** (phrasal verb) - Constitute, form, comprise, make up, total, बनाना
 - **Venture** (noun) - a new business or business activity, especially one that involves risk उद्यम

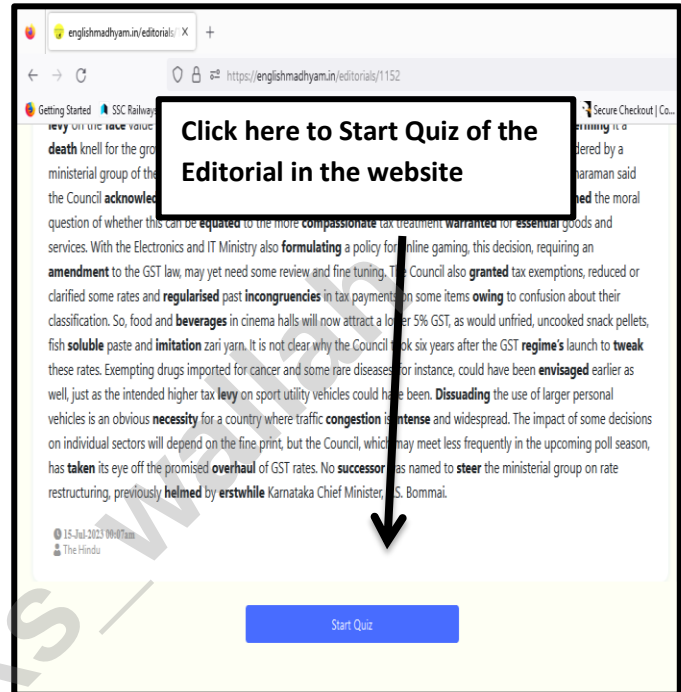
Summary of the Editorial

1. **Government's Consideration** – The Centre is evaluating imposing anti-dumping and countervailing duties on steel imports from countries like China, Japan, Korea, and Vietnam.
2. **Reason for Protectionism** – The move aims to prevent a surge in cheap imports, especially from China, which could flood the Indian market.
3. **Safeguard Duties in Progress** – Investigations are ongoing to impose temporary safeguard duties on specific steel imports from all exporting nations.
4. **Global Trade War Influence** – Potential escalation of U.S.-China trade tensions under the Trump administration may lead to increased Chinese steel exports to India.
5. **Need for Caution** – Blanket tariff hikes on steel could be inflationary and harm industrial investments across various sectors.
6. **Import Dependency in Specific Grades** – A key factor is distinguishing between steel imports that compete with domestic production and those that fill a gap for high-end steel not produced in India.
7. **Steel Import Data** – India imported 8.3 million tonnes of steel in FY24, which was 6% of domestic production (139 million tonnes).
8. **Rising Imports and Consumption** – Imports have surged by 73% from FY21, but steel consumption has also significantly increased from 95 million tonnes to 136 million tonnes.
9. **Export-Import Balance** – India's steel exports are nearly at the same level as imports, indicating that imports largely bridge the supply-demand gap.
10. **Country-wise Import Share** – China, Korea, and Japan together account for over 80% of steel imports, raising concerns about possible dumping.
11. **Sharp Rise in Chinese Steel Exports** – Between FY22 and FY24, China's steel exports to India tripled, while Japan's doubled, and Korea's increased steadily.
12. **Specialty Steel Requirement** – The National Steel Policy 2017 acknowledges that India lacks the capacity to produce certain high-grade specialty steel needed in aerospace, defense, and automobile industries.
13. **Need for Domestic Capability** – The production-linked incentive (PLI) scheme for specialty steel, introduced in 2021, aims to bridge this gap but needs time to become effective.
14. **Appropriate Protection Measures** – Rather than general safeguard levies, country-specific measures may be required to protect emerging industries under the PLI scheme.
15. **Potential Future Tariffs** – If the U.S. further increases tariffs on Chinese steel, making it harder for China to reroute through countries like Vietnam and Mexico, India may need to take action accordingly.

Practice Exercise: Banking Pattern Based



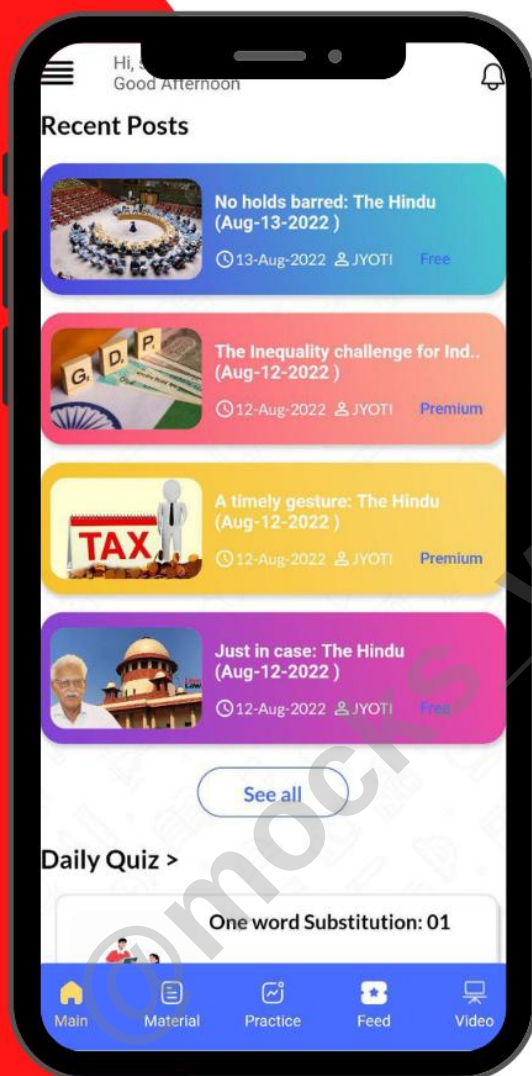
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